



Hon. Kathi Vidal
Under Secretary of Commerce for Intellectual Property
and Director of the United States Patent and Trademark Office
United States Patent and Trademark Office
600 Dulany Street
Alexandria, VA 22313
United States

Date: July 9, 2024

Re: Comment of Koninklijke Philips N.V. on notice of proposed rulemaking amending the rules of practice for an acceptable terminal disclaimer that is filed to obviate nonstatutory double patenting
Docket number: PTO-P-2024-0003

Dear Director Vidal:

Koninklijke Philips N.V. (“Philips”) is an international company with approximately 19,000 employees in the United States and a global patent portfolio. Philips files approximately 700 patent applications each year at the United States Patent and Trademark Office (USPTO). Philips has been innovating for more than 125 years in multiple fields including digital electronics, medical equipment and consumer devices. As a leader in the creation and use of Intellectual Property we are more than qualified to speak to the fairness and the utility of the proposed rule.

The USPTO proposed rulemaking seeks to add a new requirement for those submitting a Terminal Disclaimer. The rule is couched in the term “agreement” but this is not an accurate description. The proposed rule would link a putative “child” applications’ fate to that of its “parent.” The link would be established unidirectionally as an extension of the mechanism that overcomes what is now called “non-statutory double patenting” which is a judicially established doctrine.

The avowed purpose of this new rule is to promote competition and to simplify patent litigation. Neither goal will be achieved by the proposed rulemaking.

We believe that this rule should not be implemented for several reasons. First, it misdirects the purpose and common usage of current patent practice in the use of Terminal



Disclaimers. Second, it flies in the face of the purpose of patents and avowed mission of the USPTO. Third, it will add significant cost and complexity to the current patent process with concomitant enormous costs to innovators. Fourth, it will not affect its avowed purpose of simplifying patent litigation as the current rule is so draconian it will never come into effect. We present detailed reasoning for each of these in the paragraphs below.

1. Terminal Disclaimer Practice

A brief summary of Terminal Disclaimers is presented to illuminate the particular issues that the new rule proposes to eliminate. Continuation/Terminal Disclaimer practice primarily serves to refine claim language. A patent conceptually gives a limited right to exclude, which is limited by claim language.

Optimal claim language is difficult to obtain and in the course of prosecution of an application, an Examiner may allow less than ideal claim language. Since it is unknown if further refinements will be allowable, it is prudent to accept an allowance when it is offered. Often business interests which cannot be delayed impose further requirements upon obtaining a patent quickly. It is understood that the first attempt at claiming may be sub-optimal both by the Examiner and the applicant. Under current patent practice, this acceptance of an initial allowance is not limiting since further continuations are permitted.

Continuation patents with further refinements are an essential part of the patent system and afford the applicant the ability to refine the claim language by, for example, broadening claims, narrowing claims, focusing on different aspects of the invention, accommodating real world infringement conditions or changes to patent law. Not all of the claim refinements will rise to the level of a distinct invention; rather they enable the applicant to more fully protect their invention and, with the assistance of the Examiner, obtain “good” patents, which is the aim of the examination process.

None of these refinements are nefarious, as one cannot claim anything that is not within the original disclosure. Likewise current terminal disclaimer practice prohibits abuse of term extension by limiting the term of “child” patents to the term of the parent along with ownership restrictions.

It is self-evident that claiming in a patent is a complex activity and small details such as commas can render claims unenforceable. Therefore, there must be a mechanism for applicants to claim their justifiably earned rights in an optimal fashion while allowing for human error,

better understanding of the prior art presented during examination, adaptation to rapid changes in the usage environment and changes in the law.

The current system of claim refinements over several continuations may yield only a single enforceable patent after several iterations. Without iterations, an applicant could only gain their rights by perfecting the initial prosecution or by engaging in complex (and expensive) maneuvers to avoid this proposed rule.

2. Principles – What Patents Represent

The avowed purpose of the USPTO is detailed under the Patent Act of 1790: it granted the applicant the 'sole and exclusive right and liberty of making, constructing, using and vending to others to be used' of his invention. The USPTO's mission is to judge if that right is correctly and fairly obtained.

As described above, the current terminal disclaimer practice achieves these goals. Any abridgments of these rights or even the simplification of litigation falls outside the purview of the USPTO, no matter how well intentioned.

The current rule labors under an illusion that patents are trivially obtained and trivially litigated. Nothing could be further from the truth. Obtaining a single U.S. patent has an average cost of \$20,000 to \$30,000 (we only discuss effective patents that can be litigated, not patents that are obtained simply to show innovation). To have global reach in a few countries can cost \$100,000 even for a large company that has a patent department and works in volume.

3. Cost and complexity

The USPTO implies that the new rule is an agreement and is in no way onerous. Both suggestions are belied by methods proposed for addressing a requirement for a Terminal Disclaimer. The proposed rule will create an untenable situation in prosecution. Each of the USPTO suggestions are now addressed.

- (1) *Combining the conflicting claims into a single application.* This proposal is without merit as there is no practical method to combine claims into an already issued patent.
- (2) *Canceling or amending any conflicting claims in the application or in the other application containing the conflicting claims that formed the basis of the non-*

statutory double patenting. This is a “Hobsons choice”: either accept the flaws of the “parent” patent in a Terminal Disclaimer or amend the improved claims out of existence. Neither scenario leaves the applicant with improved claims.

- (3) *Arguing that rejected claims in the application are patentably distinct from the claims of the reference patent or application*. One could make these arguments but that is at the cost of one or more substantive office actions. This burden is enormous for an entity seeking to build a viable portfolio.
- (4) *Filing a reissue application of the patent whose claims formed the basis of the nonstatutory double patenting in order to add canceled conflicting claims from the application into the reissue application, provided that the added claims do not introduce new matter into the reissue application*. The use of the reissue process is problematic as it arduous, expensive and requires surrendering of the patent, even assuming that one is within the two year window for a broadening reissue.

Under the current system, each patent claim is a separate right, and invalidation of any one claim does not render the other claims of that patent or any other patent automatically invalid. Yet, under the proposed rules, an applicant seeking to obtain a variety of claim coverage through continuation practice will be subject to confiscation of all of its rights if just one claim in an earlier issued patent in the continuation chain is found to be invalid. Such confiscation is untenable and will only lead to unforeseen filing and claiming strategies and increased costs. For example, it may force innovators to file parent applications with extremely large claim sets, which will increase initial drafting costs for the innovator before knowing the scope of the prior art from the examination process, while also increasing the burden on the Examiner. It is unreasonable that an applicant would have different property rights when it has all of its claims in one parent application versus spread across one or more continuation patents limited to the same term via Terminal Disclaimer. Further, spreading the examination across multiple applications as is the current practice should provide a more focused examination and better claims than forcing examination of a very large number of claims in one examination.

In summation, the USPTO seeks to burden applicants with convoluted mechanisms without any practical means to retain the very right the USPTO was established to provide. The proposed rule will only permit organizations with large legal budgets the ability to obtain viable patent claims, because it will require innovators to file parent applications with large initial claim sets. This rule does not promote innovation, in fact, it destroys the ability of small and large entities alike to obtain enforceable patents at a reasonable cost and further it favors the market power of implementors, not innovators.

4. Failure to achieve purpose

The avowed purpose of this new rule is to promote competition and to simplify patent litigation. Neither purpose is likely to be achieved.

The USPTO's argument regarding innovation is inherently flawed; it suggests that undermining the patent system encourages innovation while the reverse is actually true. If a patent is truly valid then all it establishes is proper recompense for innovation (thus encouraging innovation). If effective patents (with iteratively tuned claims) are prevented by the new rule, then only established non-innovative businesses prosper. Eventually, even so called "efficient infringement" fails to create innovation because (i) innovators cannot profit from their effort, and (ii) established market leaders will not innovate because there is no threat of losing market share to innovators.

Promoting competition means easy access to the patenting of new ideas. As discussed above, the crippling costs and eventual limitations on, and confiscation of, legitimate claims can only serve entrenched interests.

Philips respectfully submits this comment for evaluation and thanks the USPTO for its due consideration.

Respectfully submitted,

Jako Eleveld

Vice President, Head of IP Licensing
Koninklijke Philips N.V.